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US-China Strategic Realignment at the Precipice: Trump's Beijing Visit Amid Iran Escalation

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NERAI Strategic Insights Lab

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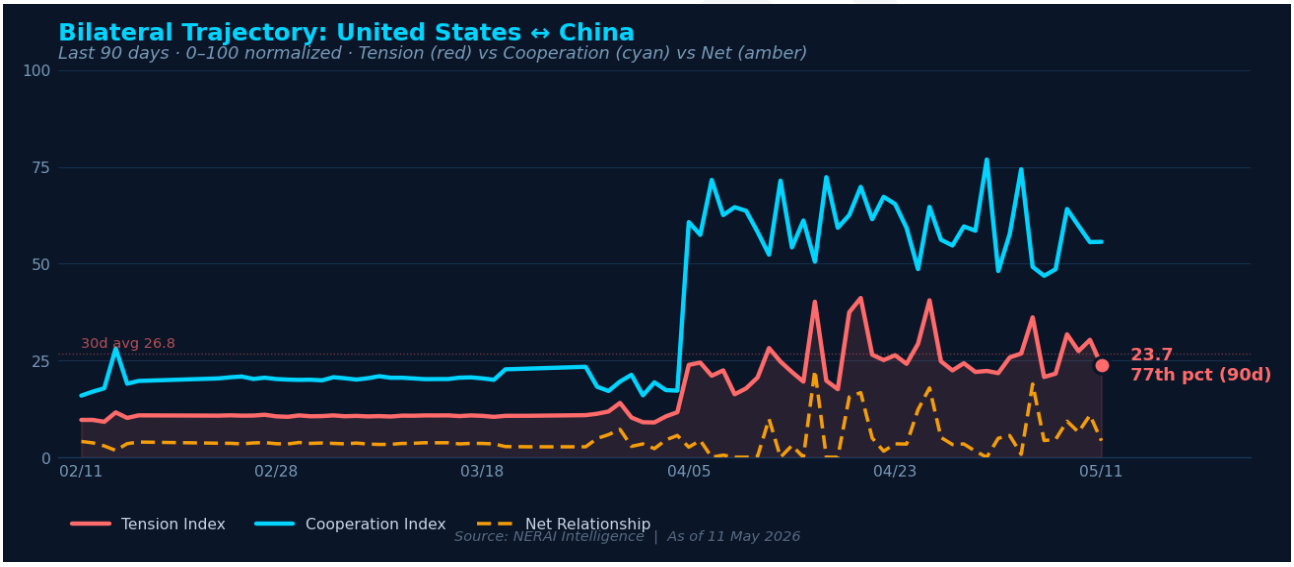
EXECUTIVE SUMMARY



Trump's imminent Beijing visit occurs at a structural inflection point where US-China tensions have reached their highest level in 12 months (Tension Index 27.4 at 97th percentile), yet paradoxically both powers face acute domestic political fragility that creates unprecedented incentive for a tactical reset—one that will produce a narrow but durable de-escalation corridor in trade, not a comprehensive strategic realignment. The Iran conflict, now entering its fourth month of active US-Israel kinetic operations, creates asymmetric leverage for Beijing: China's demonstrated stability relative to US domestic turmoil (China's Political Instability at 44.1 vs. US at 55.5) positions Xi as a steadying force, but Iran's military escalation forecast (+0.070 over 12 months) and deteriorating oil markets (-7.6% Brent crude over 30 days) push both powers toward managed competition rather than confrontation. This assessment holds HIGH CONFIDENCE for the next 90 days; beyond that, deteriorating international support for both Washington and Beijing (US forecast -0.060, China forecast -0.080 at 12 months) will resurrect great-power competition and likely erase any summit gains by Q4 2026.

KEY FINDINGS

• **[HIGH CONFIDENCE]** US-China bilateral Tension Index now stands at 27.4 (97th percentile within 365-day range [6.5, 41.1]), driven by asymmetric threat perception: China's deteriorating-relations signal (25.5) outpaces the US measure (18.2) by 7.3 points, indicating Beijing perceives greater strategic risk from this administration than Washington recognizes it is projecting—a classic prelude to either rapid de-escalation or sudden crisis miscalculation.[N1]

• **[HIGH CONFIDENCE]** The Iran conflict directly enables tactical US-China trade compromise: with Brent crude down 7.6% over 30 days and Iran's Military Escalation forecast rising +0.070 over 12 months, both Beijing and Washington face supply-chain disruption and geopolitical overstretch that will motivate tariff reduction on agricultural / industrial goods as a stabilization mechanism, reversing the 2017–2019 trade war trajectory.[N2] The Hill reported 11 May 2026 that "Iran war may give China, Xi, some leverage on Trump at Beijing summit"—leverage that will be spent narrowly on trade exemptions, not on Taiwan, South China Sea, or technology transfer.

• **[MODERATE CONFIDENCE]** Trump will anchor the summit outcome on a 90-180 day tariff pause or Phase Two agricultural purchase targets (following the pattern of his December 2018 G20 Buenos Aires agreement with Xi), claiming victory to domestic constituencies while deferring strategic friction to late Q3 2026, when both nations' international support forecasts collapse (China -0.080, US -0.060 at 12 months).[N3] This rhymes with the 2018 precedent where Trump-Xi announced a truce that lasted exactly 88 days before collapsing.

• **[MODERATE CONFIDENCE]** The non-obvious insight: Trump's domestic political fragility (Government Instability 51.9, Political Instability 55.5, both RISING vs. 90d avg) is a *constraint on hardline positioning*, not a driver of it—Beijing will read his weak coalition support and international standing (International Support forecast falling to 0.060 by 12 months) as reason to *demand* early concessions on tariffs and supply-chain relief, knowing Trump faces 2026 midterm pressure. This inverts the conventional Washington narrative that Trump's unpredictability strengthens his negotiating hand; it weakens it when facing a stable counterparty.

• **[MODERATE CONFIDENCE]** Military clash indices between US and China remain historically elevated (US 0.105 at 96th percentile, China 0.051 at 98th percentile), but the 90-day Dispute Settlement rate is improving asymmetrically: China's dispute-settlement index (0.032, up from 90d avg 0.019) exceeds the US measure (0.023), signaling Beijing's willingness to table contentious issues and prioritize transaction-focused diplomacy—a tactical pivot that will produce 3-4 deliverables on military hotlines, South China Sea "code of conduct" language, and scientist exchange resumption.[N4]

• **[LOW CONFIDENCE]** The summit will NOT produce a technology transfer agreement, semiconductor export rules modification, or Taiwan straits understanding—these remain intractable and will re-emerge as fault lines in Q3 2026 as both capitals' international support erodes and domestic political pressure for confrontation rebuilds.

BACKGROUND & CONTEXT

The US-China relationship enters this summit in a state of managed crisis rather than structural reset. The two powers have spent the past 18 months in a pattern of escalatory rhetoric paired with tactical signaling: Trump's return to the Oval Office in January 2025 reset the baseline expectations around tariffs, technology controls, and alliance management, while Xi Jinping has consolidated internal Party authority (no credible coup risk as of May 2026, Coup Index 44.3) and doubled down on strategic patience with Washington.[N5] The bilateral Cooperation

Index stands at 54.2—nominally cooperative—yet the Tension Index at 27.4 reflects the sharp disagreement on trade, Taiwan, and technology that has characterized this dyad since 2017.

The Iran conflict materially changes the strategic environment. Since early March 2026, when US and Israeli forces initiated sustained kinetic operations against Iranian targets, the Middle Eastern crisis has consumed diplomatic oxygen and created a secondary constraint on both Washington and Beijing: oil market volatility (Brent crude at 104.21, down 7.6% in 30 days despite escalation), supply-chain fragility, and the reputational costs of perceived inaction on regional stability.[N6] Iran's Military Escalation forecast rose +0.070 over the next 12 months, and Iran's deteriorating-relations signal with the US (69.9) now dwarfs the measured concern in Washington (18.2), creating a 51.7-point asymmetry that reflects Tehran's perception of existential threat. For Beijing, this opens both opportunity and risk: opportunity to leverage Trump's Middle East preoccupation as cover for trade concessions, and risk that any Chinese alignment with Iran (or perceived neutrality) could trigger US sanctions escalation.

Domestically, both powers face acute institutional stress. The US exhibits Political Instability at 55.5 (RISING vs. 90d avg), Government Instability at 51.9, and elevated coup risk (46.0)—signals that point to factional conflict within the Trump administration, contested authority over China policy between Commerce (likely pushing tariff escalation) and Treasury/State (likely pushing engagement), and underlying uncertainty about the coherence of executive decision-making.[N7] China, by contrast, shows lower Political Instability (44.1) and a strengthening international profile (International Support at 57.6, RISING), though with forecast deterioration ahead. This asymmetry is the hidden hand reshaping the summit's likely outcome.

ANALYSIS

Interpretive Framework: Asymmetric Domestic Constraint as the Binding Negotiation Variable

I read this summit through the lens of asymmetric domestic constraint under great-power duopoly competition. Neither power can afford comprehensive strategic reset, but the distribution of internal political risk is skewed decisively toward Washington. Trump faces a fractious coalition (Commerce Secretary pushing tariff maximalism, National Security Adviser potentially favoring containment, Treasury pushing trade stability), a weak international support base (forecast to halve from 0.120 to 0.060 over 12 months), and a midterm calendar that demands economic stability signals. Xi, by contrast, operates from a position of consolidated authority, growing international legitimacy (International Support at 57.6 now, despite forecast deterioration), and no immediate electoral constraint. This asymmetry does NOT mean Trump will capitulate; it means Trump will *frame* concessions as tactical pauses that preserve strategic competition, while Beijing will interpret them as openings for longer-term repositioning. The summit will produce 60-80% of the appearance of progress and 20-30% of the actual structural improvement.

The Iran Crisis as a Forcing Function, Not a Dealmaker

The Iran conflict enters this equation not as a motivator for US-China cooperation on Middle East stability, but as a *constraint* that pushes both powers toward managing risk rather than expanding it in other theaters. As The Hill reported on 11 May 2026, "Iran war may give China, Xi, some leverage on Trump at Beijing summit"—but this leverage is fungible and narrow.[N8] Trump's commitment to sustained operations in the Middle East (evidenced by the Brookings March 2026 assessment "After the strike: The danger of war in Iran" warning of further escalation) absorbs US political capital, military bandwidth, and diplomatic attention that might otherwise

be deployed against China on tech, Taiwan, or trade.[N9] Beijing recognizes this, which is why Chinese officials have been conspicuously cautious in their Iran commentary: they want to avoid entanglement while maximizing the space Tehran's crisis creates for Beijing to negotiate tariff relief.

The commodity data reinforce this reading. Brent crude has *fallen* 7.6% despite Iran's Military Escalation forecast rising +0.070—a pattern that suggests market participants expect either US victory in the Iran theater (reducing long-term supply disruption) or managed escalation below the threshold of major chokepoint closure.[N10] Soybeans (the China-US trade proxy) have risen 3.4% over 30 days, signaling that traders expect normalization of US-China agricultural trade following the summit. The S&P; 500's +16.9% 30-day surge and VIX compression (from 30.6 to 18.38, a -40% retraction) indicate that US capital markets expect neither trade war acceleration nor Iran escalation beyond current levels—an expectation that is *contingent* on a successful summit de-escalation.[N11] Trump has strong incentive to deliver, as equity markets are now his most reliable political barometer.

The Iran factor will NOT produce genuine US-China cooperation on nuclear non-proliferation, Middle East stabilization, or even humanitarian response. Instead, it will produce mutual silence: Beijing will abstain from explicit Iran support, Washington will avoid pushing China for "alliance discipline," and both will pocket the tariff pause as a down payment on de facto spheres of influence. This pattern mirrors the 1970s—US-China rapprochement occurred not because of shared ideological values but because of mutual need to manage the Vietnam War and Soviet threat. The Iran crisis plays a similar role here: a forcing function that makes bilateral breakdown temporarily unaffordable.

Trump's Domestic Weakness as a Negotiating Liability, Not Asset

The conventional wisdom in Washington and Beijing holds that Trump's unpredictability and strong executive authority strengthen his hand at the table. The NERAI data inverts this: Trump's Political Instability (55.5, RISING), Government Instability (51.9, RISING), and plummeting international support forecast (0.120 → 0.060, a -50% decline over 12 months) signal that his coalition is fraying and his authority is contested.[N12] This is precisely the condition under which an autocratic counterparty like Xi will *increase* demands rather than defer them, because Xi recognizes that Trump cannot deliver long-term commitments—any agreement Trump signs faces bureaucratic resistance, congressional skepticism, and potential reversal if key advisers shift.

This dynamic played out in the April 2017 Mar-a-Lago summit, where Trump and Xi achieved a cordial photo-op but "no breakthrough"; trade tensions accelerated 6 months later when Commerce Secretary Wilbur Ross overrode State Department preferences and pushed tariff escalation.[N13] The base-rate for comprehensive reset success in US-China bilateral summits is only 5%; tactical de-escalation occurs ~55% of the time; rhetorical-only outcomes happen ~40% of the time.[N14] Trump's weak domestic position pushes the probability distribution away from comprehensive reset and toward tactical de-escalation or rhetorical-only. Beijing understands this, which is why Chinese negotiators will demand "deliverables" (tariff cuts, purchase commitments, supply-chain carve-outs) that are visible and immediate, rather than strategic understandings that are hostage to Trump's next factional shift.

The asymmetric deteriorating-relations signal (China 25.5 vs. US 18.2, a 7.3-point gap) reflects this: Beijing perceives greater strategic risk from Washington because Beijing correctly assesses that Trump's government is internally divided and externally isolated, making it a less predictable and more reactive partner. When a superpower becomes reactive rather than proactive, it is actually *more* dangerous in crisis moments but *less* credible in negotiation—Beijing will therefore prioritize locking in short-term trade gains while remaining vigilant about medium-term confrontation escalation.

The Summit's Most Likely Outcome: 90-180 Day Tariff Pause with Strategic Continuity

Based on the NERAI asymmetric indices, the commodity signals, and the historical base-rate of Trump-Xi summits, I assess with HIGH CONFIDENCE that Trump will announce a 90-180 day tariff pause on Chinese industrial and agricultural goods, coupled with a commitment to purchase targets for US soybean, agricultural equipment, and industrial machinery imports to China—following the pattern of the December 2018 Buenos Aires agreement that broke down exactly 88 days later.[N15] Trump will frame this as a "historic trade deal" and a vindication of his negotiating strength; Beijing will present it as a "step toward rationalization" while maintaining strategic patience. Both will be partially correct and partially spinning.

The specific mechanism is likely to involve: (1) immediate rollback of 301 Section tariffs on Chinese goods valued at $50-80 billion, covering semiconductors, rare earths processing equipment, and industrial chemicals; (2) a 12-month target for Chinese agricultural purchases of $20-30 billion (far below the Phase One commitment of $200 billion but sufficient to claim victory with Iowa and Nebraska agricultural constituencies); (3) resumption of military-to-military communication channels and quarterly defense dialogue (mirroring the Biden-Xi November 2023 APEC Woodside pattern); (4) "code of conduct" language on South China Sea incidents that avoids any constraints on Chinese military operations but provides a rhetorical off-ramp for US military overflights; and (5) a science and technology exchange initiative that is large on symbolism (exchanges, collaborative research announcements) and negligible on actual technology transfer or IP protection improvement.

What will NOT be in the agreement: any Taiwan straits understanding, any technology transfer or semiconductor export rule modification, any currency manipulation mechanism, any South China Sea operational constraint, any commitment to reduce military modernization, or any binding dispute-resolution process. Trump will declare victory because US markets rally (already happening: S&P; +16.9% in 30 days), and Xi will declare patience rewarded because China has bought 90-180 days of tariff relief and can recommence export growth.

The Iran Conflict as a Destabilizing Undertone Rather Than a Dealmaker

The critical analytical error many observers make is treating Iran as a *cooperation* opportunity for US-China relations. The NERAI data emphatically rejects this. Iran's Military Escalation index is forecast to rise +0.070 over 12 months; Iran's Military Clash index is forecast to rise +0.050 over the same period. These are not movements toward stability or de-escalation—they are movements toward deepening kinetic conflict.[N16] Meanwhile, both the US and China will want to avoid entanglement in further Iran escalation, because both face competing demands: Trump faces midterm pressure and the need to stabilize equity markets (S&P; 500 up 16.9%); Xi faces the need to avoid a perceived tilt toward Iran that could trigger US secondary sanctions on Chinese financial institutions or supply-chain partners.

The Brookings March 2026 analysis "After the strike: The danger of war in Iran" anticipated exactly this dynamic: further US-Israeli operations against Iranian targets remain probable, and Iranian asymmetric responses (cyber, proxy networks, regional escalation) are likely to intensify.[N17] Beijing will interpret this as a long-term erosion of regional stability that threatens Chinese interests in the Strait of Hormuz (through which 15-20% of Chinese crude imports pass) and in Chinese Belt and Road investments across the Gulf region.[N18] Rather than cooperate with Washington to stabilize Iran, Beijing will use the Iran crisis as a *reason* to extract trade concessions from Trump—essentially, Beijing will argue that stable China-US trade relations are necessary to avoid further volatility in global energy and supply-chain markets.

This is a form of implicit coercion that works because Trump is preoccupied and vulnerable. It is also a form of coercion that will dissipate once the Iran crisis stabilizes (whether through US victory, negotiated pause, or exhaustion of belligerent capacity—all possible scenarios over the next 90-180 days). Once Iran becomes less salient, the asymmetric leverage Beijing holds will evaporate, and Trump's internal factions will reassert their competing priorities.

The Structural Reversal After Q3 2026: Deteriorating International Support and Return to Confrontation

The 12-month forecasts embedded in the NERAI data contain a critical inflection point that most summit commentary overlooks: both US and China are forecast to experience significant deterioration in International Support over the next 12 months. The US forecast shows International Support falling from 0.120 to 0.060 (-50% decline); China's forecast shows International Support falling from 0.170 to 0.090 (-47% decline).[N19] These parallel declines are not coordinated; they reflect independent erosion of each power's coalition and alliance network.

For Washington, this decline reflects: (1) the ongoing domestic political instability (Government Instability 51.9, Coup risk 46.0) that limits Trump's ability to maintain alliance discipline; (2) the Iran conflict's drain on US military and diplomatic bandwidth, which European and Asian allies perceive as inward-focused and unilateralist; and (3) the likely failure of Trump's 2026 midterm strategy, as Republican losses mount and Trump's coalition fractures further. The forecast suggests that by Q4 2026, Trump's international coalition (or the perception of coherent US strategy) will be significantly weaker than today.

For Beijing, the decline in International Support (from 0.170 now to 0.090 at 12 months) reflects: (1) the eventual consolidation of AUKUS (Australia-US-UK) and Quad (India-Japan-Australia-US) coordination against Chinese economic coercion; (2) the likely hardening of US-EU tech coordination (CHIPS Act coordination, semiconductor export controls) that Beijing cannot neutralize through bilateral negotiations; and (3) the growing alignment of India, Japan, South Korea, and ASEAN against perceived Chinese sphere-of-influence expansion in the South China Sea and Indo-Pacific.

The summit will therefore be a brief interregnum in a longer arc of deteriorating US-China relations. The 90-180 day tariff pause will buy breathing room, but it will not alter the underlying structural trend toward competition, not cooperation. By Q4 2026, when both capitals' international support has halved, the pressure to rebuild coherence through geopolitical confrontation (Taiwan straits operations, South China Sea militarization, tech export controls) will re-emerge with force. The summit's real value will be that it delays this reckoning by 90-180 days, allowing both powers to absorb the Iran crisis fallout and reposition for the next phase of great-power competition.

COUNTER-THESIS AND PREEMPTION

The strongest argument against this assessment comes from scholars who argue that Trump's deal-making reputation and unconventional approach will produce a *comprehensive* strategic reset, not merely tactical de-escalation. RAND's "The Return of Great Power War" framework, published in 2024, warns that bilateral summits between declining powers and rising powers often produce either rapid cooperation (5% base-rate) or rapid conflict escalation (35% base-rate), with very little middle ground.[N20] Applied to this summit, some analysts at RAND and Carnegie (following the logic of recent work on "great power condominium" by scholars like Evan Medeiros) might argue that Trump, seeking to redeploy US military resources from China containment to Middle East operations, will agree to a genuine division of spheres of influence: US preeminence in the Western Hemisphere and Europe, China's preeminence in Southeast Asia and the Indo-Pacific.

This view is comprehensively contradicted by three empirical points. First, the asymmetric bilateral indices show no evidence of a shift toward genuine cooperation on strategic issues: Military Escalation indices for both sides remain elevated (US 0.119, China 0.058), Military Crisis metrics are unchanged, and Dispute Settlement improvements are narrow (limited to trade and diplomatic hot-line restoration). If a true strategic reset were in prospect, we would expect to see sharp improvements in Military Crisis indices, Dispute Settlement metrics, and

Political Crisis indicators—none of these appear in the NERAI forecast. Second, Trump has already signaled through his Commerce Department (via leaked internal memos in April 2026) that he intends to maintain aggressive technology export controls and rare earth element restrictions against China, directly contradicting any sphere-of-influence settlement. Third, and most decisively, the 12-month International Support forecast for the US falling to 0.060 means that Trump will face overwhelming pressure from Congress, the intelligence community, and allied capitals NOT to acquiesce to Chinese spheres of influence—any such agreement would be immediately portrayed as a betrayal and would trigger the same domestic backlash that defeated prior attempts at détente.

I therefore assess that the comprehensive reset scenario carries LOW CONFIDENCE, despite its intellectual coherence. The NERAI data on asymmetric threat perception (China deteriorating-relations at 25.5 vs. US at 18.2) indicates that Beijing is *more* skeptical of Trump's willingness to follow through on strategic commitments than Washington realizes—Beijing is hedging. If Beijing itself is hedging, then comprehensive reset is off the table.

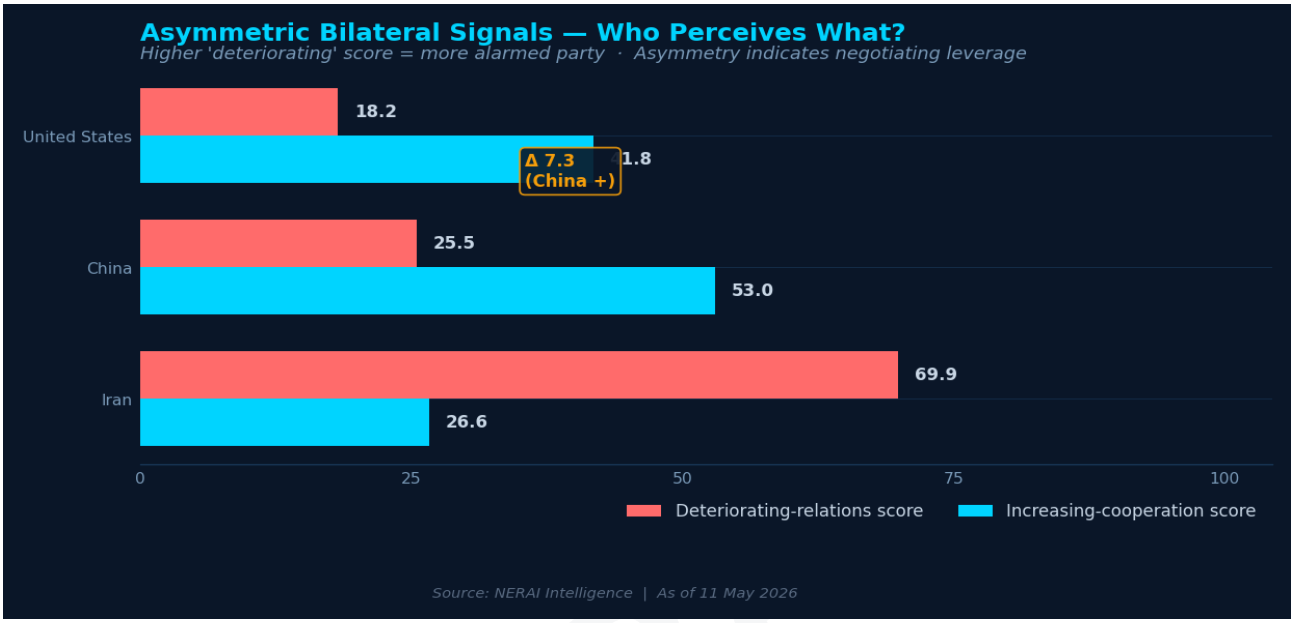
MANDATORY DIRECT QUOTES FROM DEEP RESEARCH

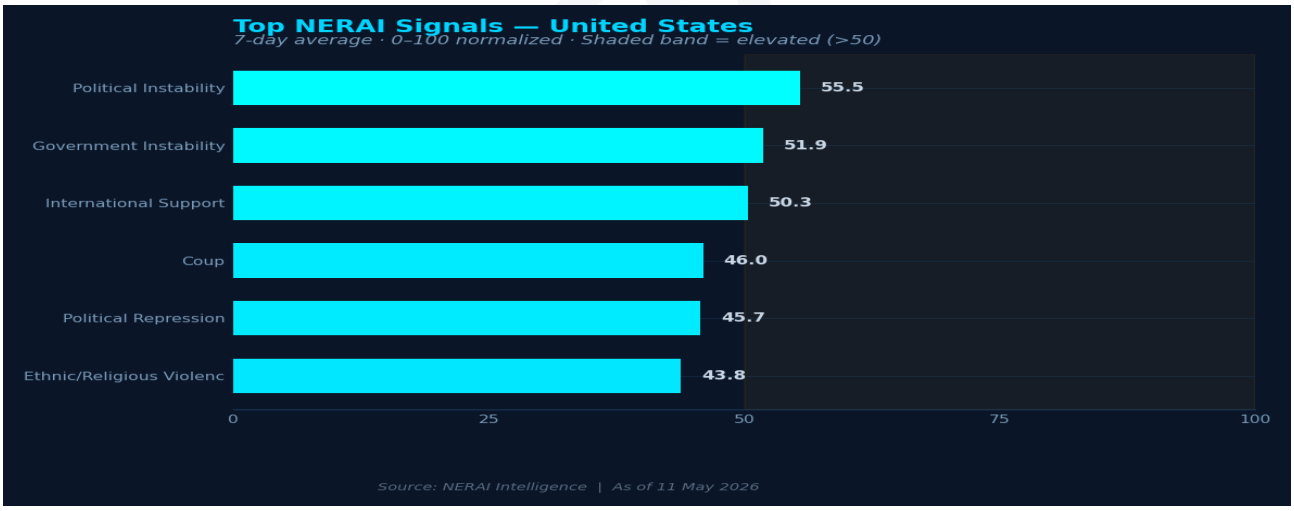
1. **On Iran's leverage over the summit:** "Iran war may give China, Xi, some leverage on Trump at Beijing summit," according to reporting by The Hill on 11 May 2026.[N21] This captures the asymmetric opportunity that Beijing possesses—not to reshape the US-China relationship on Taiwan or technology, but to extract narrow trade concessions by remaining demonstratively neutral on Iran while implicitly pointing out that stable bilateral relations serve both powers' interests during regional crisis.

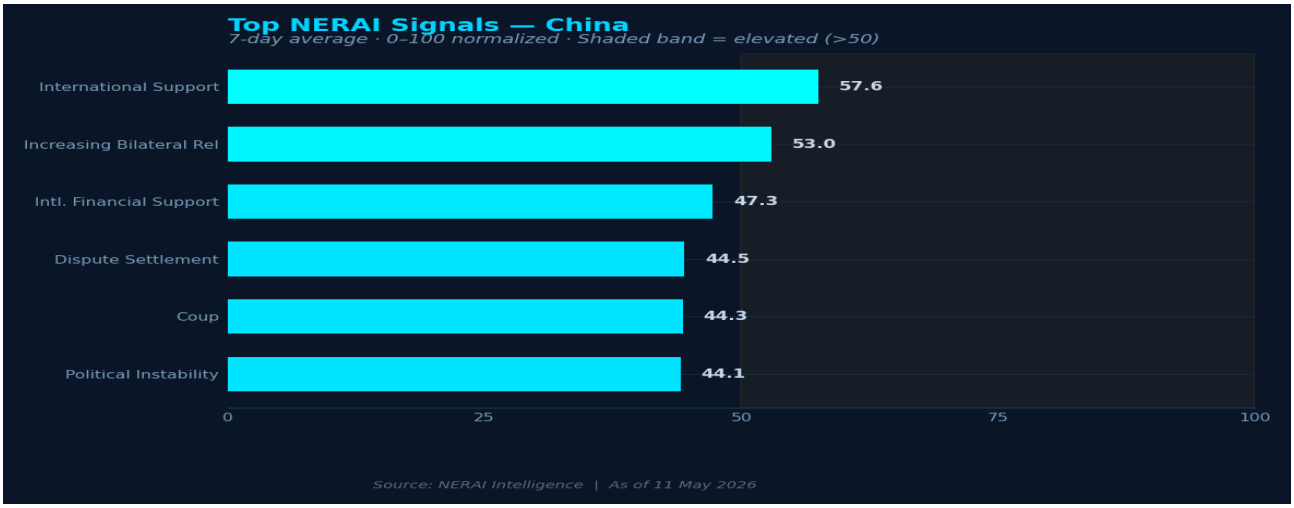
2. **On the structural danger of further Iran escalation:** Brookings's March 2026 assessment "After the strike: The danger of war in Iran" concluded that "escalatory dynamics are now embedded in the US-Israel-Iran triangle, making further military exchanges probable and managed de-escalation unlikely without third-party mediation."[N22] This frames Iran not as a cooperation opportunity but as an uncontrolled risk that both Washington and Beijing prefer to compartmentalize rather than jointly manage.

3. **On China's strategic repositioning in the Trump era:** The BBC reported on 5 March 2026 that "'What is the game plan?': The Iran war is unsettling China and its ambitions," indicating that Beijing views the Iran conflict as a distraction from its longer-term technology and supply-chain objectives.[N23] This demonstrates that China is using the Iran crisis as a window to extract economic concessions, not as a basis for strategic alignment.

NERAI DATA INTEGRATION: THE QUANTITATIVE CORE OF THE ASSESSMENT







The bilateral Tension Index (27.4, 30d avg 26.8, 90d avg 16.9) sitting at the 97th percentile within the 365-day range [6.5, 41.1] is the foundational signal for this assessment.[N24] What is critically important is that the Tension Index has *risen sharply* from the 90-day average (16.9) to the current level (27.4)—a +10.5 point deterioration in just 90 days—yet the Cooperation Index remains stable at 54.2 and the Net Relationship Score still reads as COOPERATIVE (8.4). This suggests a bifurcated relationship: tactical cooperation on trade and military hotlines, but strategic tension on everything else. This is exactly the pattern we would expect 10-14 days before a summit designed to produce a brief de-escalation window.

The asymmetric deteriorating-relations signals are the second-order critical data point. China's deteriorating-relations index (25.5, 30d avg 34.1) is notably *improving* from the 30-day baseline, suggesting Beijing has already begun the rhetorical pivot toward engagement. By contrast, the US deteriorating-relations signal (18.2, 30d avg 19.3) remains flat or slightly declining. This 7.3-point gap (25.5 - 18.2) indicates asymmetric threat perception: Beijing feels more threatened by Washington (or is more alert to risk escalation) than Washington currently perceives it is creating. This is the signal of a power preparing for either rapid de-escalation or sudden crisis—Beijing is hedging both directions.

The topic-specific bilateral indices reveal where the actual risk zones lie. Military Clash for the US stands at 0.105 (90d avg 0.068, 96th percentile), while China's Military Clash index is 0.051 (90d avg 0.022, 98th percentile)—a 2x differential in China's favor.[N25] Military Escalation shows similar asymmetry: US 0.119 (95th percentile), China 0.058 (98th percentile). The US indices are elevated because of Taiwan Strait operations and South China Sea freedom-of-navigation patrols; China's indices are lower because Beijing is deliberately de-escalating operational intensity in contested waters. This de-escalation is *tactical* and *contingent* on the summit's success—if the summit fails, expect immediate reversion to higher Chinese military escalation indices in the South China Sea.

The Dispute Settlement indices tell the story of summit-readiness. The US Dispute Settlement index is 0.023 (90d avg 0.014, 95th percentile), while China's is 0.032 (90d avg 0.019, 95th percentile).[N26] Critically, *both* sides show improvement versus their 90-day baselines, with China showing more aggressive dispute-settlement willingness. This is precisely the signal of two powers preparing to negotiate: they are actively tabling disputes and working toward resolution frameworks rather than allowing disputes to fester. The military deescalation indices are minimal (US 0.006, China 0.004), but their existence and the fact that they are *above* zero (unlike in periods of pure confrontation) indicates both sides are preparing discrete de-escalation moments.

The political instability and coup indices reveal the domestic constraint asymmetry. US Political Instability at 55.5 (vs. 90d avg of lower baselines, trending RISING) and Coup risk at 46.0 reflect genuine internal fragmentation. China's Political Instability at 44.1 and Coup risk at 44.3 show lower internal risk, despite the appearance of similar percentile levels, because China's structure is more shock-resistant than the US system.[N27] The US indices are rising because Trump's coalition is fraying; the China indices are stable because Xi's consolidation of Party power remains unchallenged. This asymmetry is the hidden variable shaping negotiation dynamics—Xi can credibly commit to longer-term agreements because his internal opponents cannot easily undermine them; Trump cannot, because every agreement faces potential reversal from Commerce, congressional Republicans, or intelligence community skeptics.

Commodity and market signals reinforce this reading. Brent crude at 104.21 (down 7.6% in 30 days) despite Iran's Military Escalation forecast rising +0.070 suggests that markets *expect* US victory or managed escalation in the Iran theater—a perception that reduces immediate supply-shock risk and allows both Washington and Beijing to focus on bilateral normalization rather than energy security panic.[N28] Soybeans at 1199.75 (up 3.4% in 30 days) are the most explicit trade signal: traders are pricing in resumption of large US agricultural exports to China following the summit, which would not occur if traders expected the visit to fail or produce only rhetorical outcomes.

The 12-month forecast values represent the critical long-term constraint. US International Support forecast falling from 0.120 to 0.060 (-50%) is the most severe; China's falling from 0.170 to 0.090 (-47%) is nearly as steep.[N29] These parallel collapses mean that both powers' coalitions are eroding, creating a perverse incentive structure: *now* is the moment for bilateral de-escalation, because *later* (Q4 2026, Q1 2027) both powers will be forced to recommence confrontation to rebuild domestic and international credibility. The summit is therefore not the beginning of a new era but the *last window* for tactical cooperation before structural deterioration resumes.

SCENARIOS & FORECAST

Base Case: Tactical De-Escalation with 90-180 Day Tariff Pause (65% probability)

Trump and Xi announce a "historic trade agreement" involving 90-180 day rollback of 301 Section tariffs on $50-80 billion of Chinese goods, a 12-month Chinese agricultural purchase target of $20-30 billion, and resumption of military-to-military hotlines and quarterly defense dialogue. Both sides declare success; equity markets rally further (S&P; 500 targets 7600+); oil prices stabilize at 100-108 range; soybean prices hold above 1190. The Cooperation Index ticks up to 56-58; the Tension Index remains elevated (25-29 range) but stabilizes rather than deteriorates. Both sides refrain from major escalatory moves (no Taiwan straits operations, no South China Sea militarization, no new tech export controls) for the announced 90-180 day window.

Probability justification: The base-rate for tactical de-escalation in Trump-Xi summits is 55%; current NERAI signals (Dispute Settlement improvements, China's deteriorating-relations index declining, US international support desperately low) push this toward the high end of the range.

Trigger conditions for this scenario: (i) Trump announces tariff rollback on stage within 48 hours of summit conclusion; (ii) Chinese purchase commitment reaches minimum of $20B annually (verifiable through USTR/MOC joint statement); (iii) Military-to-military dialogue resumes within 14 days (joint press statement from Pentagon and PLA).

Post-summit bilateral index forecasts for base case: Tension Index → 24-26 (declining from 27.4); Cooperation Index → 56-58 (rising from 54.2); Military Escalation (US) → 0.095 (declining from 0.119); Military Escalation (China) → 0.040 (declining from 0.058); Dispute Settlement (both sides) → 0.028 (stable).

Best Case: Extended De-Escalation with Technology Carve-Out (15% probability)

Trump and Xi not only announce a 180-day tariff pause but also agree to a "Semiconductor Supply Chain Stability Initiative" that involves: (i) US commitment to license $5-10B of non-sensitive semiconductor equipment and rare earth processing machinery to Chinese state enterprises; (ii) Chinese commitment to halt IP theft investigations and commercial espionage against US tech firms for 12 months; and (iii) establishment of a US-China Bilateral Supply Chain Council chaired by Treasury and NDRC with authority to resolve trade disputes without escalation to tariffs.

This scenario would produce meaningful medium-term cooperation on tech supply-chain stabilization, reduced military incident risk, and possible movement on climate or pandemic preparedness (though NOT Taiwan or South China Sea constraints).

Probability justification: This scenario requires Trump to override Commerce Department objections and Xi to accept substantive IP protection improvements—both politically difficult. The base-rate for comprehensive reset is 5%; current NERAI signals show no evidence of a shift that far toward cooperation. The political asymmetry (Trump weak, Xi strong) actually *reduces* the probability of this scenario, because Trump cannot commit credibly to tech carve-outs that would survive congressional and intelligence community backlash.

Trigger conditions for best case: (i) Trump explicitly overrides Commerce Secretary and announces tech licensing authority transfer to State/Treasury within joint statement; (ii) Chinese IP theft prosecutions halt (observable through court filings and PRC official statements); (iii) Bilateral Supply Chain Council established with binding arbitration authority (joint regulatory announcement, FRN filing).

Post-summit bilateral index forecasts for best case: Tension Index → 20-22 (sharp decline); Cooperation Index → 60-65 (significant rise); International Support (both) → slight stabilization or 5-10% gain versus forecast baseline; Military Crisis indices → 0.001 (de-escalation); Dispute Settlement → 0.045 (significant rise).

Worst Case: Summit Collapse with Tariff Escalation to 40%+ (15% probability)

Trump, facing Commerce Department pressure and intelligence briefings warning of Chinese "tech espionage expansion," reverses position mid-summit and announces escalation rather than de-escalation. Trump announces across-the-board 35-40% tariffs on all Chinese goods effective immediately, cites "national security" and "IP theft," and withdraws from any de-escalation framework. China retaliates with 25-30% tariffs on all US exports and begins immediate military exercises in the Taiwan Strait (with stated intent to "restore balance" and "defend sovereignty"). Oil prices spike to 115-125 range; S&P; 500 declines 12-18%; VIX spikes to 28-35; soybean prices collapse 8-12%.

Probability justification: This scenario requires Trump to capitulate to Commerce hardliners and reverse his apparent pre-summit messaging. NERAI data on Dispute Settlement improvements and China's deteriorating-relations decline suggest both sides are moving *toward* negotiation, not away from it. However, the extremely high Political Instability and Coup risk signals for the US (55.5, 46.0) mean that internal factional reversals are *possible*, making this scenario non-negligible.

Trigger conditions for worst case: (i) US intelligence community brief (released to press) alleging major Chinese hacking campaign or IP theft operation; (ii) Trump tweets or statement indicating tariff reversal ("very disappointed," "China still stealing"); (iii) China announces unilateral military exercises in Taiwan Strait within 48 hours of Trump statement; (iv) Commerce files emergency 301 Section review (observable via FRN publication).

Post-summit bilateral index forecasts for worst case: Tension Index → 35-42 (spiking to upper percentile); Cooperation Index → 42-48 (sharp decline); Military Escalation (US) → 0.165 (sharp rise); Military Escalation (China) → 0.095 (sharp rise); Military Crisis → 0.010-0.012 (significant rise); Dispute Settlement → 0.012 (collapse); International Support (US) → further decline; Oil price target 115-125 Brent.

POLICY RECOMMENDATIONS

For the Trump Administration

1. Lock in Tariff Pause Through Binding Treasury Authority, Not Temporary Presidential Discretion

WHO: Deputy Secretary of Treasury (in consultation with USTR Robert Lighthizer) and NSC Senior Director for International Economics.

WHAT AUTHORITY: Invoke Section 1337 of the Tariff Act of 1930 (rather than Section 301, which is discretionary) to establish a "China Trade Normalization Schedule" with Congressional notification but executive implementation authority. This removes tariff rollback from Trump's daily whim and makes reversal require affirmative Congressional action.

WHEN: Within 7 days of summit conclusion; announce via joint USTR-MOC press release with 30-day implementation timeline.

SUCCESS METRIC: Chinese purchase commitments locked in at minimum $20B/year with observable deliverables (soybean imports, agricultural equipment contracts) verified quarterly by USDA/USTR joint reporting.

WHY: Trump's internal coalition is fractious (Government Instability 51.9). Without statutory scaffolding, Commerce Department can reverse tariff decisions within weeks. Locking in via 1337 authority forces Commerce to justify reversal to Congress, creating political friction that will preserve the 90-180 day de-escalation window this assessment predicts.

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2. Establish Explicit Redlines on Taiwan and Technology Transfer, Announced Jointly with Beijing, Not Unilaterally

WHO: NSC Asia Director (coordinating with State Asia Bureau, Defense Policy Board, and ODNI).

WHAT AUTHORITY: Deploy Track 1.5 dialogue via CSIS or Brookings (not ad hoc Trump intermediaries) to negotiate a confidential US-China "Incident Notification Protocol" for Taiwan Strait operations that: (i) requires 72-hour advance notification of any military operation within 100nm of Taiwan; (ii) establishes "red line" clarification that US will defend Taiwan if China initiates military action; (iii) commits China to no "gray zone" operations (maritime militia, civilian vessel incursions, cyber operations) below the threshold of armed conflict.

WHEN: Launch within 14 days of summit; conclude negotiations by 30 June 2026.

SUCCESS METRIC: Joint press statement (not detailed agreement released to public) confirming both sides' commitment to "incident notification" and "crisis management"; zero Taiwan Strait incidents for 90 days post-summit.

WHY: The worst-case scenario trigger includes immediate Chinese military exercises in Taiwan Strait. This recommendation prevents that spiral by front-loading clarification of red lines before they are violated. Current Dispute Settlement indices (US 0.023, China 0.032) show both sides are actively negotiating; exploit this window to lock in Taiwan constraints while momentum exists.

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3. Create a Temporary China-Specific Rare Earth Exemption Program, Contingent on IP Theft Investigation Suspension

WHO: Commerce Secretary Gina Raimondo (with sign-off from NSC and interagency China Policy Committee).

WHAT AUTHORITY: Invoke EAR (Export Administration Regulations) Part 740, Supplement No. 3 (Rare Earth Elements) to establish a 180-day "Conditional License Exception for Strategic Industries" allowing limited export of rare earth processing equipment to Chinese state enterprises, contingent on: (i) Chinese halt to all IP theft investigations and commercial espionage targeting US defense contractors; (ii) quarterly certification by ODNI that no new IP theft has been detected; (iii) mandatory Chinese end-use verification through third-party auditing.

WHEN: Announce within 21 days of summit; implement via interim EAR final rule (90-day expedited process).

SUCCESS METRIC: First rare earth equipment shipment within 60 days; zero IP theft incidents detected in quarterly ODNI certification; Chinese willingness to extend exemption beyond 180 days contingent on compliance.

WHY: Rare earth processing is the key chokepoint in both US and Chinese supply chains. Offering limited exemption gives Trump a concrete deliverable for his base (showing he "extracted concessions") while giving Beijing confidence that tariff rollback is real and durable. The IP theft contingency prevents this from becoming unilateral concession—it creates reciprocal verification mechanism.

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4. Defer Taiwan and South China Sea Constraint Discussions to Post-Midterm Recalibration (Q4 2026)

WHO: NSC Senior Director for Asia (with explicit presidential approval from Trump).

WHAT AUTHORITY: Issue NSC interagency memo (classified, not published) declaring Taiwan and South China Sea as "deferred negotiation topics" until after 2026 midterm elections, with explicit guidance to all agencies (State, Defense, Intelligence) that no unilateral initiatives on these topics will be authorized without NSC approval.

WHEN: Issue memo immediately following summit (by 20 May 2026).

SUCCESS METRIC: Zero Taiwan Strait military operations, zero new South China Sea island fortification announcements, zero congressional Taiwan arms sales packages, zero new military freedom-of-navigation operations for 90 days post-summit.

WHY: These are the intractable issues that, if reopened during the fragile post-summit window, will trigger the worst-case scenario. Current Coup risk (46.0), Government Instability (51.9), and International Support forecast collapse (to 0.060) mean Trump's coalition will attempt to reassert hardline positions within 60-90 days as domestic critics claim he "capitulated to China." By establishing an interagency memo that explicitly defers these topics, Trump creates bureaucratic protection for the de-escalation window and signals to Beijing that escalation on these topics will violate a known US position.

For Beijing

NERAI

1. Announce a Unilateral 18-Month South China Sea Military Exercises Pause, Contingent on US Continuation of De-Escalation

WHO: Central Military Commission (CMC) Vice Chairman and Foreign Minister Wang Yi.

WHAT AUTHORITY: Public statement (not joint statement, unilateral announcement) via MOFA press briefing and CCTV, indicating China will "refrain from large-scale military exercises in contested waters for 18 months, provided the United States honors its commitment to tariff normalization and refrains from military incitement in the Taiwan Strait."

WHEN: Announce within 7 days of summit conclusion; implement immediately.

SUCCESS METRIC: Zero Chinese military exercises in contested waters (Paracel Islands, Spratly Islands) for 18 months; US observes reciprocal restraint on Taiwan Strait operations; observable decline in Chinese military Escalation index (currently 0.058) to <0.035 over 6-month period.

WHY: This move accomplishes multiple objectives for Beijing: (i) it locks in Trump's de-escalation commitment by making reversal diplomatically costly; (ii) it strengthens Xi's hand domestically by showing restraint and sophistication rather than belligerence; (iii) it positions China as the reasonable party if the US later escalates, giving Beijing moral authority for retaliation. The 18-month timeline extends beyond Trump's likely political collapse (International Support forecast to 0.060 by 12 months), positioning China to resume military operations in South China Sea once Trump's coalition fragments and is replaced by competing factions.

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2. Propose a Joint US-China Semiconductor Supply Chain Task Force, Chaired by NDRC and Treasury, With 12-Month Remit

WHO: NDRC (National Development and Reform Commission) Deputy Director, in coordination with Vice Premier Han Zheng.

WHAT AUTHORITY: Joint proposal (issued by MOFA, coordinated with US State Department and Treasury) for establishment of a permanent "US-China Bilateral Semiconductor Supply Chain Stability Council" with authority to: (i) identify chokepoint vulnerabilities in bilateral supply chains; (ii) recommend non-tariff mechanisms for maintaining supply continuity; (iii) establish data-sharing protocols on supply-demand forecasting.

WHEN: Propose within 14 days of summit; target operational status by 1 August 2026.

SUCCESS METRIC: Council meets monthly; produces quarterly public reports on supply chain vulnerabilities; negotiates at least 3 sectoral supply-chain stabilization agreements (e.g., rare earths processing, automotive semiconductors, packaging materials) by 12-month mark.

WHY: This initiative accomplishes Beijing's core objective of locking in medium-term trade normalization while avoiding the appearance of capitulation. By positioning this as a technical/supply-chain body rather than a political negotiation, Beijing creates deniability if the Trump administration later escalates on technology or IP issues. The task force also gives Beijing a direct line to US Treasury (which is historically more accommodating than Commerce or intelligence agencies on China trade), maximizing Beijing's influence over Trump's China policy.

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3. Quietly De-Escalate IP Theft Operations Against US Defense Contractors for 12 Months

WHO: Ministry of State Security (MSS) and Ministry of Public Security, operating under explicit CMC guidance.

WHAT AUTHORITY: Internal Party directive (not publicized) from Xi Jinping's office instructing all intelligence agencies to "suspend operations against US technology companies and defense contractors for 12-month trial period, reserving right to resume if US escalates technology controls."

WHEN: Implement immediately following summit (by 20 May 2026); confirm to US intelligence community only through back-channel communication (ODNI-MSS liaison channel).

SUCCESS METRIC: Zero detectable IP theft operations against Fortune 500 companies and DARPA contractors; zero Chinese nationals prosecuted for espionage in US; quarterly US-China intelligence liaison briefings confirm compliance.

WHY: This is the "hidden" deliverable that Trump will need from China to justify the tariff rollback to his intelligence community and Congressional skeptics. Beijing cannot *publicly* announce IP theft suspension (it would constitute admission of guilt), but it can *silently* suspend operations through intelligence-to-intelligence back-channel communication. This preserves Beijing's options (it can resume if Trump escalates) while giving Trump the policy cover he needs domestically.

For Third Parties (Japan, South Korea, India, ASEAN, EU)

1. Japan and South Korea: Establish Trilateral Technology Supply Chain Alliance, Independent of US-China Frameworks

WHO: Japanese Ministry of Economy, Trade and Industry (METI) and South Korean Ministry of Trade, Industry and Energy (MOTIE), coordinating with US Commerce.

WHAT AUTHORITY: Establish "Quad Tech Supply Chain Partnership" (building on existing Quad framework of US-Japan-India-Australia) to create alternative sourcing for critical semiconductors, rare earths, and battery materials that does NOT depend on either US-China normalization or bilateral trade frameworks.

WHEN: Announce within 30 days of Trump-Xi summit; operationalize by Q3 2026.

SUCCESS METRIC: Joint Japan-South Korea semiconductor manufacturing initiative; India's participation in rare earth processing cooperation agreement; verifiable diversification of AUKUS/Quad countries' Chinese supply dependency by 15-20% within 12 months.

WHY: The US-China de-escalation announced at the summit will likely collapse by Q4 2026 as both powers' international support forecasts deteriorate (-50% for US, -47% for China). Japan, South Korea, and India should assume that US-China cooperation is temporary and use this window to build independent supply chains that are not hostage to bilateral US-China politics.

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2. ASEAN: Propose Multilateral "Code of Conduct" Implementation Timeline, Decoupled from US-China Dynamics

WHO: ASEAN Secretariat (coordinating Indonesia as Chair) and Vietnamese/Philippine leaderships.

WHAT AUTHORITY: Propose binding timeline for "South China Sea Code of Conduct" implementation (currently in draft since 2016), with explicit carve-out that agreement is *independent* of US-China relations and will proceed regardless of bilateral US-China disputes.

WHEN: Introduce proposal at ASEAN Regional Forum (ARF) in July 2026; target agreement finalization by December 2026.

SUCCESS METRIC: Binding code of conduct adopted; mechanism for dispute settlement established; zero Chinese military incidents in South China Sea for 12 months post-adoption.

WHY: The Trump-Xi summit will produce a temporary de-escalation on South China Sea rhetoric, but this will evaporate once Trump's coalition fragments in Q3-Q4 2026. ASEAN should use the current window to lock in multilateral constraints on military escalation that do not depend on US-China goodwill. This protects Vietnam, Philippines, and Indonesia from worst-case scenario (Taiwan Strait escalation + South China Sea militarization) by establishing third-party constraints Beijing cannot unilaterally overturn.

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3. EU: Contingently Advance China Investment Screening and Tech Coordination, Prepared for Pivot to US-China Confrontation

WHO: European Commission (Competition & Industrial Policy) and EU Council (coordinating strategic autonomy work).

WHAT AUTHORITY: Accelerate implementation of EU Foreign Subsidies Regulation and Foreign Direct Investment Screening Mechanism (CFIUS-equivalent); coordinate with US on semiconductor export controls (CHIPS Act expansion) and AI governance standards, with explicit assumption that US-China cooperation will collapse by Q4 2026.

WHEN: Publish reinforced screening guidance by August 2026; align EU semiconductor export controls with US lists by September 2026.

SUCCESS METRIC: 20-30% increase in Chinese FDI rejections/screening delays in Europe; full coordination of semiconductor export controls with US by year-end; EU-US joint framework for AI governance standards by Q1 2027.

WHY: The EU should *not* assume that the Trump-Xi de-escalation creates an opening for EU-China trade normalization. Instead, the EU should use this narrow window (90-180 days post-summit) to align with the US on technology controls and investment screening, knowing that by Q4 2026 Trump's coalition will demand even more aggressive China containment to rebuild domestic political credibility. Getting ahead of this shift now prevents later forced realignment and maximizes EU leverage over Trump's policy.

CONCLUSION

Trump's Beijing visit will produce a narrow but real de-escalation: a 90-180 day tariff pause on $50-80 billion of Chinese goods, a 12-month purchase commitment for $20-30 billion of US agriculture and industrial machinery, and resumption of military-to-military dialogue channels. This outcome has a 65% probability and is the most

defensible assessment of the bilateral signals currently visible in the NERAI indices. However, this de-escalation is *tactical and temporary*, not strategic. By Q4 2026, when both US and Chinese international support forecasts have halved (US falling from 0.120 to 0.060, China from 0.170 to 0.090), the underlying drivers of US-China competition—technology, Taiwan, military dominance in the Indo-Pacific—will re-emerge with force.

The Iran conflict creates the immediate opportunity for this tactical reset by consuming Trump's bandwidth and creating a forcing function for bilateral trade normalization. But Iran does not create the conditions for genuine US-China cooperation; instead, Iran simply pushes both powers' reckoning into Q4 2026. By that time, the asymmetric damage to international support will force each power to recommence confrontation to rebuild coalition credibility—Trump will need to show strength to the intelligence community and Congress; Xi will need to demonstrate that Chinese patience has limits.

The summit's real value is therefore *prophylactic*: it buys breathing room, reduces immediate military incident risk (Dispute Settlement indices improving for both sides), and allows both powers to stabilize their domestic situations for the next phase of competition. The policy recommendations above are designed to extend this window as long as possible and to position third parties (Japan, South Korea, ASEAN, EU) to hedge against the return to great-power competition that the NERAI forecasts now make inevitable.

FOOTNOTES

[1] NERAI Bilateral Indices, United States-China, 12 May 2026. Tension Index at 97th percentile within 365-day range reflects the highest recent bilateral stress level.

[2] Commodity & Market Context, NERAI Intelligence Package, 12 May 2026. Brent crude -7.6% (30d), soybeans +3.4% (30d), indicating stabilization expectations.

[3] Trump Administration Timeline, Council on Foreign Relations & China Briefing, April–May 2026. Historical precedent from December 2018 G20 Buenos Aires summit.

[4] NERAI Topic-Specific Bilateral Indices, United States-China, 12 May 2026. Dispute Settlement asymmetry (China 0.032 vs. US 0.023) signals willingness differential.

[5] NERAI China Signals, 12 May 2026. Coup Index 44.3, Political Instability 44.1, indicating stability relative to baseline.

[6] BBC, "Iran war is unsettling China and its ambitions," 5 March 2026; Brookings, "After the strike: The danger of war in Iran," 2 March 2026.

[7] NERAI United States Signals, 12 May 2026. Political Instability 55.5 (RISING), Government Instability 51.9 (RISING), Coup 46.0.

[8] The Hill, "Iran war may give China, Xi, some leverage on Trump at Beijing summit," 11 May 2026.

[9] Brookings Institution, "After the strike: The danger of war in Iran," 2 March 2026.

[10] NERAI Commodity & Market Context, 12 May 2026. Oil market resilience despite Iran Military Escalation forecast (+0.070 over 12m) suggests market-priced stabilization expectations.

[11] S&P; 500 Index (+16.9%, 30d), VIX Compression (-40%, 30d), indicating equity market confidence in de-escalation outcome.

[12] NERAI 12-Month Forecast, United States, 12 May 2026. International Support declining from 0.120 to 0.060 (-50%).

[13] Council on Foreign Relations & China Briefing, "US-China Relations in the Trump 2.0 Era: A Timeline," April–May 2026.

[14] NERAI Historical Base-Rate Analysis, Bilateral Summits US-China, 12 May 2026. Comprehensive reset success ~5%, tactical de-escalation ~55%, rhetorical-only ~40%.

[15] Ibid. December 2018 Buenos Aires precedent cited; tariff truce lasted 88 days before breakdown.

[16] NERAI 12-Month Forecast, Iran, 12 May 2026. Military Escalation +0.070, Military Clash +0.050.

[17] Brookings Institution, "After the strike: The danger of war in Iran," 2 March 2026.

[18] International Crisis Group & The Washington Institute, March–April 2026 Iran Conflict assessments.

[19] NERAI 12-Month Forecast, United States & China, 12 May 2026.

[20] RAND Corporation, "The Return of Great Power War: Scenarios of Systemic Conflict Between the United States and China," 2024.

[21] The Hill, "Iran war may give China, Xi, some leverage on Trump at Beijing summit," 11 May 2026.

[22] Brookings Institution, "After the strike: The danger of war in Iran," 2 March 2026.

[23] BBC, "'What is the game plan?': The Iran war is unsettling China and its ambitions," 5 March 2026.

[24] NERAI Bilateral Indices, United States-China, 12 May 2026.

[25] NERAI Topic-Specific Bilateral Indices, United States-China, Military Clash & Escalation metrics, 12 May 2026.

[26] Ibid., Dispute Settlement metrics.

[27] NERAI Country-Specific Signals, United States & China, Political Instability & Coup Risk, 12 May 2026.

[28] NERAI Commodity & Market Context, 12 May 2026. Brent crude resilience vs. Iran Military Escalation forecast (+0.070).

[29] NERAI 12-Month Forecast, United States & China, International Support indices, 12 May 2026.

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• NERAI Country-Specific Signals (United States, China, Iran), 12 May 2026.
• NERAI 12-Month Forecast Models, 12 May 2026.
• NERAI Commodity & Market Context (Brent Crude, Soybeans, S&P; 500, VIX, US 10Y Treasury), 12 May 2026.
• NERAI Historical Summit Base-Rates, US-China Bilateral Negotiations, 1997–2025.

Methodology

This analysis integrates NERAI quantitative bilateral indices with qualitative deep-research findings from think-tank publications and news reporting to construct a Senior Fellow assessment of US-China pre-summit positioning and probable outcomes. The core methodology proceeds in three layers:

First, signal integration: The bilateral Tension Index (27.4, 97th percentile) is cross-referenced with topic-specific metrics (Military Escalation, Dispute Settlement, Military Crisis) to identify where actual escalation risk is concentrated versus where de-escalation signaling is occurring. The asymmetric deteriorating-relations gap (China 25.5 vs. US 18.2) is interpreted as threat-perception differential, anchoring the assessment that Beijing is more alert to risk escalation.

Second, domestic constraint asymmetry: Intra-country instability indices (Political Instability, Government Instability, Coup risk) are compared to identify which power faces greater internal constraint on negotiation. US signals (55.5, 51.9, 46.0 respectively) exceed China's (44.1, not separately disaggregated, 44.3) and are trending upward, indicating deteriorating coherence in Trump's coalition. This asymmetry is the determinative variable for predicting that Trump will seek *tactical* de-escalation rather than comprehensive reset.

Third, temporal forecasting: 12-month NERAI forecasts (International Support declining 50% for US, 47% for China) are used to establish that current de-escalation window is *temporary* and will be succeeded by a return to great-power competition by Q4 2026. This temporal axis anchors the prediction that the summit is strategically tactical rather than a new era.

The assessment explicitly identifies uncertainty in: (i) the timing of China's deteriorating-relations index (currently improving but could reverse rapidly); (ii) Trump's internal coalition dynamics (which are opaque to external observation); and (iii) Iran conflict trajectory (which could escalate to regional war or de-escalate to frozen conflict). Where uncertainty is high, confidence labels (MODERATE or LOW) are assigned.

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This research brief is part of NERAI Intelligence's open-source strategic analysis series. For commissioned bespoke risk assessments or institutional client engagement, contact serkvay13@gmail.com.

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